

Credit Repair — Operator Playbook

Step by step: Round 1, Round 2, Round 3, inquiry removal, specialty letters, tracking, and the law. Office use only. This playbook teaches the process Jessica Alvarez uses for clients of Credit Repair Services (San Antonio, TX).

1 — The Law, in Plain Words (Get the Deadlines Right)

FCRA §611 (15 U.S.C. §1681i) — When a bureau receives a dispute, it has **30 days** to investigate (45 days if the client sends more information mid-investigation, or if the dispute follows a free annual report). If the item cannot be verified, it must be corrected or deleted. The bureau must send the client the results and a free corrected report.

FCRA §605B (§1681c-2) — Identity theft blocks: with a valid FTC Identity Theft Report, the bureau must block fraudulent items within **4 business days**. This is the fastest tool you have — when the documents are right.

FCRA §611(a)(7) — After an item is "verified," the client may demand a description of the **Method of Verification (MOV)**: how the bureau verified it and who it contacted. The bureau must answer within 15 days.

FCRA §623 / Regulation V — Clients may also dispute **directly with the furnisher** (the company reporting the item). Furnishers must investigate direct disputes within 30 days.

FDCPA §809 — For debt collectors: within 30 days of the collector's first written notice, the client can demand **validation** of the debt in writing. The collector must stop collecting until it validates.

CROA — No charging before work is fully performed. No false or misleading statements. Written contract required. Client may cancel within **3 business days** of signing.

Texas — Credit services organizations register with the Texas Secretary of State and post a surety bond (Finance Code Ch. 393). Verify registration and bond are in place before taking paying clients.

A warning about course letters: some templates circulating in courses cite deadlines the law does not give (for example "remove in 15 business days" or "24-hour legal demands"). Bureaus know the real deadlines. Firm letters built on the correct law get better responses than threats built on deadlines that do not exist. Every template in this playbook uses the correct timelines.

2 — The Workflow at a Glance

Step 0 — Setup: signed Agreement + start documents + pull all 3 reports.

Step 1 — Audit: mark every item (error / outdated / unverifiable / accurate); the client chooses what to dispute.

Step 2 — Clean personal information first (names, addresses, employers) — mismatched personal data weakens every later dispute.

Round 1 — Bureau disputes by certified mail with ID + proof of address enclosed. Start the 30-day clock the day the bureau receives it.

Wait + track: log the mailing, the delivery date, and the day-30 deadline for every letter.

Read results: deleted / updated / verified / "frivolous" stall. Each outcome has a next move (Section 6).

Round 2 — Escalate the survivors: Method of Verification demand + direct dispute to the furnisher at the same time.

Round 3 — Final demand: a last, specific letter, then a CFPB complaint with the paper trail attached.

Build positive credit the whole time (Section 10). **Final review** with the client; close or continue by agreement.

3 — Step 0: Setup (Before Any Letter)

- Signed Credit Repair Service Agreement (with the CROA disclosures and 3-business-day cancellation notice).
- Start documents: government photo ID, Social Security card copy, proof of address within 60 days. Bureaus reject disputes without ID + address proof enclosed — build the habit now.
- Pull all 3 reports (AnnualCreditReport.com — free weekly). Save PDFs in the client's folder: Client Name / Reports / Round 1 / Round 2 / Round 3 / Letters Received.
- Open a tracking row for the client (Section 11). Nothing is sent that is not logged first.
- Payment method on file; remember — fees are billed AFTER each stage of work, never before.

4 — The Audit: What to Dispute (and What Not To)

Go report by report, account by account, and mark each item one of four ways:

- **Error** — wrong balance, wrong dates, wrong status, payments marked late that were on time, accounts that are not the client's, duplicate accounts, someone else's information merged in.
- **Outdated** — past the reporting limit (most negatives: 7 years from first delinquency; Chapter 7 bankruptcy: 10 years; hard inquiries: 2 years).
- **Unverifiable** — the furnisher cannot document it (no records, incomplete records, collector can't validate).
- **Accurate** — it is the client's and it is reported correctly. Do NOT dispute accurate items as "not mine" — bureaus flag repeat baseless disputes as frivolous, and it burns the client's credibility for the real disputes. For accurate negatives, use goodwill requests, pay-for-delete negotiation, or time (Section 9).

Dispute reasons must be specific. "Not mine / I don't recognize this" is the weakest reason and draws form-letter verifications. Strong reasons name the inaccuracy: "Balance is wrong — the account was paid in full on [date]; enclosed is proof." Specific facts + evidence win rounds.

5 — ROUND 1: The Bureau Dispute

Strategy. Dispute with each bureau that reports the item (an item on 2 reports needs 2 letters). Group items sensibly — personal-information cleanup first; then up to about 5 items per letter so each dispute is investigated carefully. Send by **certified mail** (return receipt optional but useful) — never only online: mail creates the paper trail that Rounds 2-3 and

CFPB complaints stand on. Enclose a copy of the client's photo ID and proof of address in EVERY envelope. Keep a copy of every page sent.

The 30-day clock starts when the bureau receives the letter (your certified tracking shows the date). Log it. If day 30 passes with no response, the bureau is in violation — that becomes Round 2 ammunition.

Template 1 — Round 1 Bureau Dispute Letter

[Client Full Name]

[Client Address]

[City, State ZIP]

Date of Birth: [DOB] • Last 4 of SSN: [XXXX]

[Date]

[Bureau Name and Address — see Bureau Addresses page]

Re: Dispute — please investigate the items below

Dear Sir or Madam:

I am writing to dispute the following information in my credit report. I have marked each item and explained why it is inaccurate, incomplete, or unverifiable. Under the Fair Credit Reporting Act, Section 611, please investigate each item, correct or delete anything you cannot verify with the furnisher, and send me an updated copy of my report when you finish.

Item 1: [Creditor Name], Account #[XXXX] — [Reason: e.g., "This account is not mine. I have never opened an account with this company."]

Item 2: [Creditor Name], Account #[XXXX] — [Reason: e.g., "The balance is wrong. This account was paid in full on (date). A copy of proof is enclosed."]

Item 3: [Creditor Name], Account #[XXXX] — [Reason: e.g., "This item is obsolete. The date of first delinquency is (date), more than 7 years ago."]

Enclosed: copy of my government photo ID and proof of address.

Thank you for your attention to this matter.

Sincerely,

[Client Signature]

[Client Printed Name]

6 — Reading the Results (Every Outcome Has a Next Move)

- **Deleted** — Log it, celebrate it with the client, and check the other bureaus: a deletion at one bureau does not remove the item from the others.
- **Updated / corrected** — Verify the correction is complete and correct on a fresh report pull before closing the item.
- **Verified** — **"the furnisher confirmed this item"** — This is normal after Round 1. It is NOT the end: it triggers Round 2 (MOV + furnisher dispute). Ask yourself first: is our reason

still right? If the item is accurate after all, stop disputing it and switch strategies (Section 9).

- **"Frivolous" or "previously investigated" stall letter** — The bureau refused to reinvestigate. Respond with a new letter containing NEW information or evidence (or a sharper, more specific reason), and state that the dispute is not frivolous because it raises facts not previously provided.
- **No response after 30 days** — Send the Round 2 letter and cite the missed deadline with the certified-mail delivery date.
- **Reinsertion** — If a deleted item comes back, the bureau must notify the client within 5 business days and certify the item is accurate. If it did not, demand deletion again citing the reinsertion rule (§611(a)(5)).

7 — ROUND 2: Method of Verification + Furnisher Dispute

Run BOTH tracks at the same time:

Track A — MOV demand to the bureau. Under §611(a)(7), demand a description of the procedure used to verify the item, including the name, address, and phone number of the furnisher contacted. Bureaus often answer with a generic paragraph — that itself is useful: a bureau that cannot describe a real verification has a weak file for Round 3.

Track B — Direct dispute to the furnisher (the creditor/collector reporting the item), under FCRA §623 and Regulation V. Send it to the furnisher's dispute address (on the credit report) with the same facts and evidence. Furnishers must investigate within 30 days and must report the outcome to the bureaus. If the furnisher agrees the item is wrong, it must ask every bureau to delete it — one win cleans all three reports.

Template 2 — Method of Verification Demand (Round 2, to the bureau)

[Client Full Name]
[Client Address]
[City, State ZIP]
Date of Birth: [DOB] • Last 4 of SSN: [XXXX]
[Date]

[Bureau Name and Address — see Bureau Addresses page]

Re: Dispute — please investigate the items below

Dear Sir or Madam:

On [date], I disputed the item below. On [date], you responded that the furnisher verified it. Under the Fair Credit Reporting Act, Section 611(a)(7), I now request a description of the method of verification you used for this item, including the name, address, and telephone number of the furnisher or person you contacted, and whether any document was reviewed.

Item: [Creditor Name], Account #[XXXX].

If this item was verified only by matching my name and account number against a database — without review of any record of the account itself — please say so plainly, and delete the item, as a match of that kind does not establish that the information is accurate or complete.

Please respond within 15 days, as the Act requires.

Sincerely,

[Client Signature]

[Client Printed Name]

Template 3 — Direct Dispute to the Furnisher (Round 2)

[Client Full Name]

[Client Address]

[City, State ZIP]

[Date]

[Furnisher Name]

[Furnisher Dispute Address — from the credit report]

Re: Direct dispute under FCRA Section 623 — Account #[XXXX]

Dear Sir or Madam:

I am disputing information you are furnishing about me to the credit bureaus. [Explain the specific inaccuracy and the correct information, e.g.: "You are reporting a balance of \$842 and a status of 'charged off.' This account was paid in full on (date) under confirmation #(number). A copy of the proof is enclosed."]

Under the Fair Credit Reporting Act and Regulation V, please investigate this dispute within 30 days, correct your records, and instruct every credit bureau to which you report to correct or delete this item. Please send me written notice of your findings and of the corrections you instruct.

Enclosed: copy of my photo ID, proof of address, and [proof documents].

Sincerely,

[Client Signature]

[Client Printed Name]

8 — ROUND 3: Final Demand + CFPB Complaint

Step 1 — The final letter. One page, specific, calm, and complete: the item, what is wrong, what Rounds 1-2 produced (dates + the bureau's own words), what the law requires, and exactly what you want (deletion/correction) within 15 days — plus a plain statement that the next step is a CFPB complaint with the full paper trail.

Template 4 — Round 3 Final Demand

[Client Full Name]
[Client Address]
[City, State ZIP]
Date of Birth: [DOB] • Last 4 of SSN: [XXXX]
[Date]

[Bureau Name and Address — see Bureau Addresses page]

Re: Dispute — please investigate the items below

Dear Sir or Madam:

This is my third written dispute of the item below. The history: Round 1 dispute sent [date], received by you [date]; your response [date] stated the furnisher verified the item. My Method of Verification request sent [date]; your response [date] [did not describe any review of account records / gave only a generic description]. My direct dispute to the furnisher, sent [date], produced [no response / the enclosed response].

Item: [Creditor Name], Account #[XXXX] — [the specific inaccuracy, in one sentence]. The information remains inaccurate [or: unverifiable]. Under FCRA Sections 611 and 607(b), you are required to follow reasonable procedures to assure maximum possible accuracy and to delete information that cannot be verified. Please delete [or: correct] this item and send me an updated report confirming it.

If this is not resolved within 15 days of your receipt of this letter, I will file a formal complaint with the Consumer Financial Protection Bureau, attaching this complete paper trail, and I will consider my additional remedies under the FCRA.

Enclosed: copies of my Round 1 and Round 2 letters, your responses, certified mail receipts, my ID, and proof of address.

Sincerely,

[Client Signature]

[Client Printed Name]

Step 2 — The CFPB complaint. File at consumerfinance.gov/complaint, in the client's name (the client submits, or authorizes you to prepare it with them). Upload: the timeline, all letters, bureau responses, and certified receipts. Companies must respond — usually within 15-60 days — and complaints routed this way get reviewed by real compliance teams, not the dispute form-letter queue. Track the complaint number in the client's file.

Step 3 — Know when to refer out. If a bureau or furnisher still will not correct a clearly wrong item after a documented Round 3 + CFPB complaint, the next step is an FCRA consumer attorney (many take these cases on contingency because the FCRA shifts fees). You are not an attorney — hand the client their complete file and a referral. That honesty protects the client and you.

9 — Removing Inquiries

First, the truth about inquiries. A hard inquiry the client actually authorized (they applied for the credit) is accurate information — bureaus will not remove it, and it falls off on its own after 2 years (it affects scores for about 1 year). Disputing authorized inquiries as "not mine" when the client did apply is a frivolous-dispute risk. The inquiries you CAN remove:

- **Unauthorized inquiries** — the client never applied or gave permission (dealerships shopping a loan to 10 lenders without clear consent, a creditor pulling without permissible purpose, mistakes).
- **Fraud / identity-theft inquiries** — removed with the §605B block (Section 10A).

How: dispute the inquiry with the bureau AND send a removal request to the company that pulled it — the creditor can instruct the bureau to remove its own inquiry quickly. Ask the creditor for its permissible purpose in writing; if it cannot state one, it must remove it.

Template 5 — Inquiry Removal (to the company that pulled the credit)

[Client Full Name]

[Client Address]

[City, State ZIP]

[Date]

[Company Name]

[Company Address]

Re: Unauthorized credit inquiry dated [date]

Dear Sir or Madam:

My credit report shows that your company accessed my credit file on [date]. I did not apply for credit with your company and I did not authorize this inquiry. Under the Fair Credit Reporting Act, Section 604, a credit file may only be accessed with a permissible purpose. Please send me, in writing, the permissible purpose for this inquiry and any application or authorization bearing my signature. If none exists, please instruct each credit bureau to delete this inquiry from my file, and confirm to me in writing that you have done so.

Thank you for your prompt attention.

Sincerely,

[Client Signature]

[Client Printed Name]

Prevention tools to set up for every client: free security freezes at all 3 bureaus (stops new unauthorized pulls cold), a fraud alert if theft is suspected, and opt out of prescreened offers at optoutprescreen.com.

10 — Specialty Situations & Letters

10A — Identity theft (the 605B fast lane). Have the client file at IdentityTheft.gov to get the FTC Identity Theft Report, and file a police report if they are willing. Send the bureau: the dispute letter + the Identity Theft Report + ID/proof of address. The bureau must block the

fraudulent items within 4 business days. Also place a fraud alert or freeze, and send the same packet to each bureau reporting the fraud. This replaces slow Round 1-3 for fraudulent accounts — use it whenever theft is documented.

Template 6 — Identity Theft Block Request (605B)

[Client Full Name]

[Client Address]

[City, State ZIP]

Date of Birth: [DOB] • Last 4 of SSN: [XXXX]

[Date]

[Bureau Name and Address — see Bureau Addresses page]

Re: Dispute — please investigate the items below

Dear Sir or Madam:

I am a victim of identity theft. Under the Fair Credit Reporting Act, Section 605B, I request that you block the following fraudulent items from my credit report within four (4) business days of receiving this letter:

- 1.** [Creditor], Account #[XXXX] — not opened by me.
- 2.** [Creditor], Account #[XXXX] — not opened by me.
- 3.** [Inquiry / other item] — not authorized by me.

Enclosed: my FTC Identity Theft Report, a copy of my government photo ID, and proof of my address. [If applicable: Police report #[number], [Police Department].]

Please also send the notices of this block required by Section 605B to the furnishers, and send me written confirmation and a free updated copy of my report.

Sincerely,

[Client Signature]

[Client Printed Name]

10B — Debt validation (collectors). If the client received a collector's first notice within the last 30 days, send a validation demand within that window: the collector must stop collecting until it mails validation. Send certified; keep it short; do not admit the debt or make a payment (a payment can restart the Texas 4-year limitations clock on old debts).

Template 7 — Debt Validation Demand (FDCPA §809)

[Client Full Name]
[Client Address]
[City, State ZIP]
[Date]

[Collector Name]
[Collector Address]

Re: Your notice dated [date], Account #[XXXX], Original creditor: [name]

Dear Sir or Madam:

I received your notice about the account above. I dispute this debt and, under the Fair Debt Collection Practices Act, Section 809, I request validation — including the amount itemized, the name of the original creditor, and documentation showing I owe this debt and that you are authorized to collect it.

Until you mail me that validation, please stop all collection activity on this account, as the law requires. Please communicate with me only in writing at the address above.

This letter is not an admission that the debt is mine and not a promise to pay.

Sincerely,

[Client Signature]
[Client Printed Name]

10C — Goodwill request (accurate late payments). For a client with one or two late payments on an otherwise good account they still hold: a polite letter to the creditor asking — as a goodwill adjustment — to remove the late mark. Works best when the account is current, the late was a one-time event with a real reason, and the client asks humbly rather than citing law. No guarantees — say so.

Template 8 — Goodwill Adjustment Request

[Client Full Name]
[Client Address]
[City, State ZIP]
[Date]

[Creditor Name]
[Creditor Address]

Re: Account #[XXXX] — request for a goodwill adjustment

Dear Sir or Madam:

I have been your customer since [year], and I value the account. In [month/year] I was late on one payment because [short, honest reason — illness, family emergency, job loss]. I caught up immediately, and the account has been current ever since.

I am writing to ask, as a one-time goodwill gesture, whether you would remove that late payment from what you report to the credit bureaus. It would help my family [reason — qualify for a home, lower insurance costs] more than I can say, and I intend to remain a customer in good standing.

Thank you for considering it.

Sincerely,

[Client Signature]

[Client Printed Name]

10D — Pay-for-delete. A negotiation, not a right: the client offers payment (often a settlement amount) in exchange for deletion. Rules: negotiate in writing, get the agreement in writing BEFORE paying, pay only by a trackable method, never admit more than needed, and warn the client that furnishers are not required to agree and some refuse by policy (and that settled debts can have tax consequences over \$600 of forgiven debt). Then verify deletion on a fresh pull within 45 days.

10E — Repossession deficiencies. A repo balance is only collectible if the sale followed the law: proper notices before the sale and a commercially reasonable resale (UCC Article 9; in Texas, Business & Commerce Code Ch. 9). Demand the notice copies and sale records from the creditor (see Jessica's course letter — the structure is sound). If they cannot produce them, dispute the deficiency balance with the bureaus as unverifiable with that correspondence attached. State rules vary — do not quote another state's deadline or statute to a Texas creditor.

10F — Evictions and public-record-style items. Evictions usually arrive through tenant-screening reports and collector accounts rather than the big-3 reports themselves. Dispute under §611 with the same Round 1 letter, demanding verification of the underlying record (court, case number, dates, amounts). Note: your course template says the bureau must answer in 15 business days — the FCRA deadline is 30 days; keep the request urgent, cite §611 correctly, and the letter stays credible. If a screening company (not a big-3 bureau) holds the record, the same FCRA rights apply to it — dispute there too.

10G — Data breach fallout. If the client's data was in a breach: freeze all 3 bureaus, place a fraud alert, dispute any resulting fraudulent items using the 605B lane (the breach letter + FTC report strengthen the file), and document everything — breach notices are evidence, keep them in the client folder.

11 — Tracking & Client Communication

For every client, keep one tracking sheet with a row per item: **Item | Bureau/Furnisher | Round | Letter sent (date) | Delivered (date) | Response due (day 30/45) | Response (date + outcome) | Next step.** Review it every Monday. A dispute you are not tracking is a deadline you are about to miss.

Client updates: a short plain-words email after every mailing and every response — what was sent, when the answer is due, and what you are doing next. Silence makes clients anxious; a two-line update makes them stay.

Billing rhythm (CROA): Action Plan billed when the plan is delivered; Essential billed after each month's work is done; never before. Send the Square link with each invoice and log payment in the tracker.

12 — Compliance Guardrails (Protect the Client and the Business)

- Never promise a deletion, a score, or a timeline. Promise the work — audits, letters, tracking, updates — because that is what you control.
- Never dispute an item you know is accurate as "not mine." Reframe honestly (goodwill, negotiation, verification of details) or leave it and build positive credit.
- Never create or suggest a "new credit identity" (CPN, EIN-for-credit, synthetic identity). That is fraud — full stop.
- Never charge before the work is done. Never charge a card on file for work not yet performed.
- Written agreement before work; 3-business-day cancellation honored every time; copies of everything to the client.
- Texas Finance Code Ch. 393: confirm CSO registration + surety bond are current before signing paying clients.
- You are not an attorney. When a matter needs one (lawsuit threats against the client, stubborn FCRA violations after Round 3), refer out and hand over the file.

Bureau Addresses — For All Mail

Experian — P.O. Box 4500, Allen, TX 75013

Equifax — Equifax Information Services, LLC, P.O. Box 740256, Atlanta, GA 30374-0256

TransUnion — TransUnion, LLC, Consumer Dispute Center, P.O. Box 2000, Chester, PA 19016

Mail every dispute certified (keep the receipt + a full copy of everything in the envelope). Enclose photo ID + proof of address every time. Never send originals.

Playbook prepared for Credit Repair Services — Jessica Alvarez, San Antonio, TX. Educational and operational guidance for her client work; not legal advice. Laws summarized: FCRA (15 U.S.C. §1681 et seq.), FDCPA, CROA, Texas Finance Code Ch. 393.

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